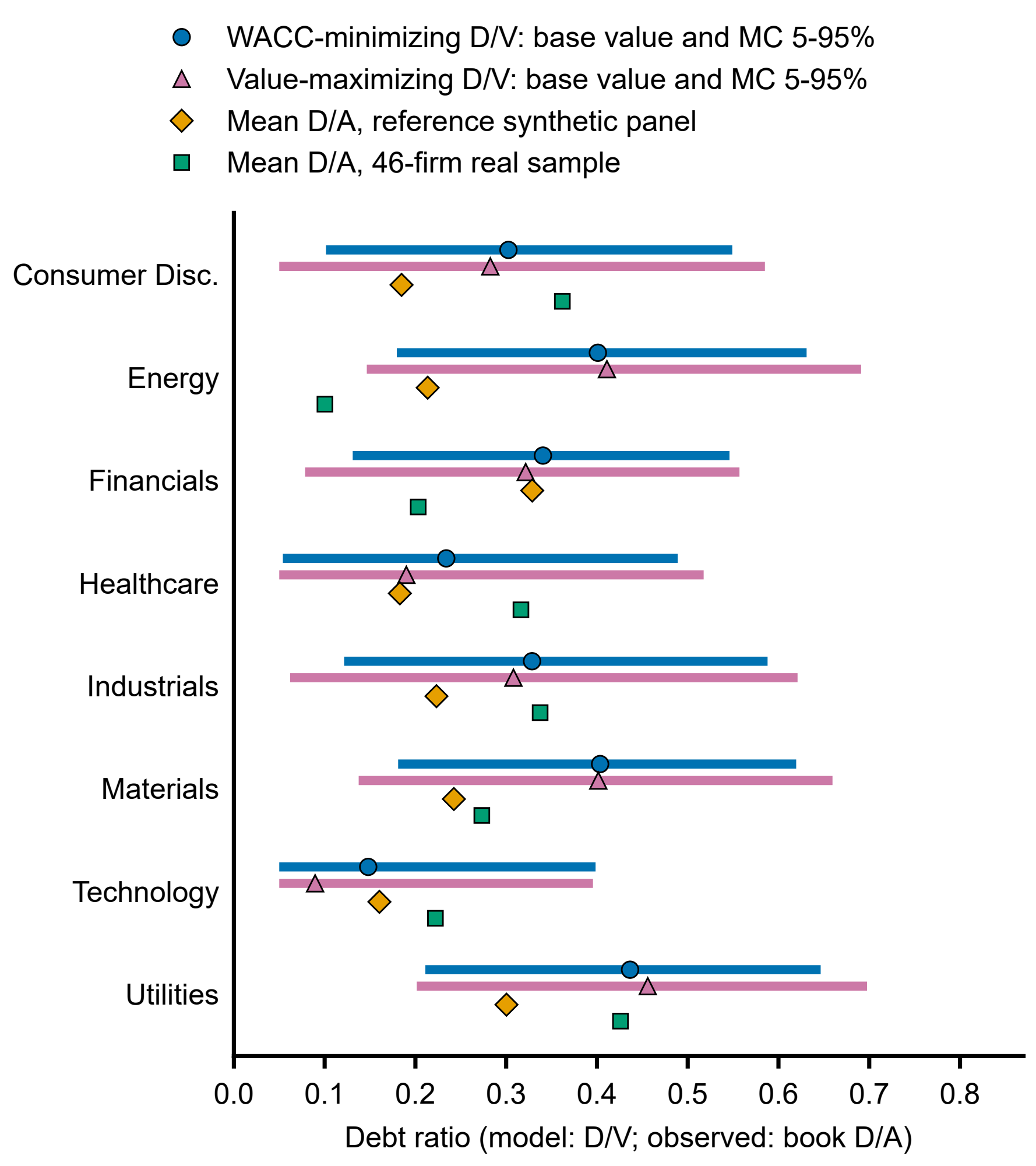
WACC-minimizing D/V: base value and MC 5-95%
Value-maximizing D/V: base value and MC 5-95%
Mean D/A, reference synthetic panel
Mean D/A, 46-firm real sample
Consumer Disc.
Energy
Financials
Healthcare
Industrials
Materials
Technology
Utilities
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
Debt ratio (model: D/V; observed: book D/A)